

5.1 Key figures from the consolidated financial statements for the year ended 30 June 2024

5.1.1 Income statement

€ millions	30.06.2023	30.06.2024
Net sales	12,137	11,598
Gross margin after logistics expenses	7,246	6,975
Advertising and promotion expenses	(1,939)	(1,872)
Contribution after advertising and promotion expenses	5,307	5,103
Profit from recurring operations	3,348	3,116
Operating profit	3,265	2,724
Financial income/(expense)	(327)	(437)
Corporate income tax	(651)	(766)
Share of net profit/(loss) of associates and net profit of held for sale activities	(4)	(7)
NET PROFIT	2,283	1,514
Of which:		
Non-controlling interests	21	38
Attributable to Group shareholders	2,262	1,476
EARNINGS PER SHARE – BASIC (€)	8.84	5.84
EARNINGS PER SHARE – DILUTED (€)	8.81	5.83

5.1.2 Balance sheet

€ millions	30.06.2023	30.06.2024
ASSETS		
Non-current assets	25,667	25,725
<i>Of which intangible assets and goodwill</i>	<i>19,000</i>	<i>19,040</i>
Current assets	12,008	13,065
Assets held for sale	1	395
TOTAL ASSETS	37,676	39,185
LIABILITIES AND SHAREHOLDERS' EQUITY		
Consolidated shareholders' equity	16,715	16,797
Non-current liabilities	14,026	15,146
Current liabilities	6,935	7,091
Liabilities related to assets held for sale	—	151
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	37,676	39,185

5.1.3 Net debt

€ millions	30.06.2023	30.06.2024
Gross non-current debt	9,851	11,040
Gross current debt	1,536	2,130
Non-current derivative instruments – assets	(3)	—
Current derivative instruments – assets	—	—
Non-current derivative instruments – liabilities	14	10
Current derivative instruments – liabilities	—	6
Cash and cash equivalents	(1,609)	(2,683)
NET DEBT EXCLUDING LEASE LIABILITIES	9,789	10,503
Lease liabilities	484	448
NET DEBT	10,273	10,951
Free cash flow ⁽¹⁾	1,431	963

(1) The calculation of free cash flow is set out in Note 5.3 – Net debt to the management report.

5.1.4 Cash flow statement

€ millions	30.06.2023	30.06.2024
Self-financing capacity before interest and taxes	3,543	3,378
Net interest paid	(288)	(336)
Net income tax paid	(654)	(547)
Decrease/(increase) in working capital requirement	(568)	(768)
Net change in cash flow from operating activities	2,033	1,727
Net change in cash flow used in investing activities	(1,731)	(676)
Net change in cash flow used in financing activities	(1,117)	(209)
Cash flows from discontinued operations	—	—
Translation differences	(103)	232
CASH AND CASH EQUIVALENTS AT BEGINNING OF PERIOD	2,527	1,609
CASH AND CASH EQUIVALENTS AT END OF PERIOD	1,609	2,683

5.2 Analysis of business activity and results

- FY 2024 organic net sales broadly stable (up by around 2% excluding Russia), as strong performances in many mature and emerging markets largely offset a still-normalising United States and challenging China.
- Sequential volume recovery throughout H2 in most markets.
- Pricing, operational efficiencies and cost discipline leading to organic gross margin and organic operating margin expansion of 108 bps and 80 bps.
- Investing in brand desirability and sustainable long-term growth with a sharp and consistent A&P policy and an acceleration in strategic investments.
- Continuing active portfolio management, notably with disposals of some Strategic Local Brands and the announcement of the disposal of Strategic Wine Brands.

5.2.1 Presentation of results

5.2.1.1 Net profit from recurring operations, Group share and per share – diluted

€ millions	30.06.2023	30.06.2024
Profit from recurring operations	3,348	3,116
Financial income/(expense) from recurring operations	(291)	(417)
Corporate income tax on recurring operations	(691)	(646)
Non-controlling interests, net profit of discontinued and held for sale activities and share of net profit of associates	(25)	(53)
GROUP SHARE OF NET PROFIT FROM RECURRING OPERATIONS⁽¹⁾	2,340	2,000
GROUP SHARE OF NET PROFIT FROM RECURRING OPERATIONS PER SHARE – DILUTED (€)	9.11	7.90

(1) Profit from recurring operations after taking into account financial income and expenses from recurring operations, corporate income tax on recurring operations, the share of net profit or loss of associates, and net profit of discontinued and held for sale activities.

5.2.1.2 Profit from recurring operations

Group						
€ millions	30.06.2023	30.06.2024	Reported growth		Organic growth ⁽¹⁾	
Net sales	12,137	11,598	(539)	-4.4%	(150)	-1.2%
Gross margin after logistics expenses	7,246	6,975	(271)	-3.7%	37	0.5%
Advertising and promotion expenses	(1,939)	(1,872)	68	-3.5%	59	-3.1%
Contribution after advertising and promotion expenses	5,307	5,103	(203)	-3.8%	97	1.8%
PROFIT FROM RECURRING OPERATIONS	3,348	3,116	(232)	-6.9%	53	1.5%

(1) Organic growth: growth at constant exchange rates and scope of consolidation.

Americas						
€ millions	30.06.2023	30.06.2024	Reported growth		Organic growth ⁽¹⁾	
Net sales	3,481	3,340	(141)	-4.1%	(159)	-4.6%
Gross margin after logistics expenses	2,220	2,162	(58)	-2.6%	(33)	-1.5%
Advertising and promotion expenses	(686)	(669)	17	-2.5%	57	-8.3%
Contribution after advertising and promotion expenses	1,534	1,493	(41)	-2.7%	23	1.5%
PROFIT FROM RECURRING OPERATIONS	965	878	(87)	-9.0%	(6)	-0.6%

(1) Organic growth: growth at constant exchange rates and scope of consolidation.

Asia/Rest of the World						
€ millions	30.06.2023	30.06.2024	Reported growth		Organic growth ⁽¹⁾	
Net sales	5,191	4,973	(218)	-4.2%	167	3.2%
Gross margin after logistics expenses	2,969	2,851	(117)	-4.0%	155	5.1%
Advertising and promotion expenses	(740)	(678)	62	-8.4%	13	-1.8%
Contribution after advertising and promotion expenses	2,229	2,173	(55)	-2.5%	168	7.4%
PROFIT FROM RECURRING OPERATIONS	1,516	1,461	(55)	-3.6%	132	8.4%

(1) Organic growth: growth at constant exchange rates and scope of consolidation.

Europe						
€ millions	30.06.2023	30.06.2024	Reported growth		Organic growth ⁽¹⁾	
Net sales	3,465	3,285	(180)	-5.2%	(158)	-4.6%
Gross margin after logistics expenses	2,057	1,962	(95)	-4.6%	(84)	-4.1%
Advertising and promotion expenses	(513)	(525)	(12)	2.3%	(11)	2.2%
Contribution after advertising and promotion expenses	1,544	1,437	(107)	-6.9%	(95)	-6.2%
PROFIT FROM RECURRING OPERATIONS	867	777	(90)	-10.4%	(74)	-8.6%

(1) Organic growth: growth at constant exchange rates and scope of consolidation.

5.2.2 Organic net sales growth of Strategic International Brands

In millions of 9-litre cases	Volumes	Volumes	Organic growth ⁽¹⁾ in net sales	Of which volume growth	Of which price/mix effect
	30.06.2023	30.06.2024			
Absolut	12.7	12.0	-1%	-5%	+4%
Jameson	10.7	10.7	+1%	0%	+1%
Ballantine's	8.8	8.8	+1%	0%	+1%
Chivas Regal	5.1	4.7	-1%	-6%	+5%
Ricard	4.4	4.3	+3%	-2%	+4%
Malibu	4.7	4.4	-4%	-6%	+2%
Havana Club	4.3	3.5	+8%	-17%	+26%
Beefeater	3.7	3.3	-8%	-10%	+2%
Martell	2.4	2.2	-10%	-11%	+1%
The Glenlivet	1.6	1.4	-6%	-12%	+6%
Mumm	0.6	0.5	-12%	-14%	+2%
Royal Salute	0.3	0.2	+5%	-7%	+12%
Perrier-Jouët	0.3	0.3	+2%	-6%	+8%
STRATEGIC INTERNATIONAL BRANDS	59.5	56.5	-3%	-5%	+2%

(1) Organic growth is defined on page 222.

FY 2024 net sales totalled €11,598 million, an organic decline of 1% (down 4% as reported), with a negative FX impact mainly linked to the Argentinian peso, Turkish lira, US dollar, Chinese yuan and Indian rupee.

By region:

- **Americas, down 5%:**

- **United States, down 9%**, with a Spirits market that continues to normalise. In a still elevated interest rate environment, further inventory adjustments expected in FY 2025, leading to an anticipated decline in Q1,
- Canada broadly stable, with strong RTD growth; market share gains,
- Brazil up slightly, with a favourable basis of comparison and a consumer demand recovery in H2; market share gains,
- Mexico up slightly, with an unfavourable basis of comparison and a soft tourism season; market share gains;

- **Asia-RoW, up 3%:**

- **China, down 10%**, with a challenging macro-economic environment and continuing weak consumer sentiment impacting demand. Stable sales of Martell Noblige, good performance on Premium International Brands Absolut, Jameson, Olmeca and Beefeater. A strong decline expected in Q1, with subdued trade sentiment ahead of the FY 2025 Mid Autumn Festival, contrasting with much stronger consumer sentiment last year in Q1,
- **India, up 6%**, with a very solid, broad-based and accelerating performance underpinned by strong consumer demand,

- Very good growth in Japan and the Taiwan market, with market share gains; decline in South Korea in both net sales and market share,
- Very strong results in Africa and the Middle East, notably in Turkey with an outstanding performance on Chivas, and in Nigeria,
- Flat net sales in South Africa amid difficult macro-economic conditions;
- **Europe, down 5%**, with a solid performance in Europe excluding Russia (up 2%), with strong performances notably in Germany and Poland;
- **Global Travel Retail, up 2%**, full year sales growth with a soft H1 impacted by protracted sales negotiations, and good growth in H2. Passenger numbers fully normalised with the exception of the ongoing recovery of Chinese travellers.

By category:

Jameson continued its international expansion, Absolut saw dynamic growth in Asia-ROW and Europe, Scotch Brands were negatively impacted by the United States and China.

- **Strategic International Brands, down 3%**
- **Strategic Local Brands, up 5%**
- **Specialty Brands, down 2%**
- **Strategic Wine Brands, down 9%**

Our overall portfolio recorded mid-single digit price increases, with slightly lower volumes and an adverse market mix.

6.1 Consolidated income statement

€ millions	30.06.2023	30.06.2024	Notes
Net sales	12,137	11,598	2
Cost of sales	(4,891)	(4,623)	2
Gross margin after logistics expenses	7,246	6,975	2
Advertising and promotion expenses	(1,939)	(1,872)	2
Contribution after advertising and promotion expenses	5,307	5,103	2
Structure costs	(1,959)	(1,987)	
Profit from recurring operations	3,348	3,116	
Other operating income/(expenses)	(83)	(392)	3.1
Operating profit	3,265	2,724	
Financial expenses	(380)	(505)	3.2
Financial income	53	68	3.2
Financial income/(expenses)	(327)	(437)	
Corporate income tax	(651)	(766)	3.3
Share of net profit/(loss) of associates	(4)	(7)	
Net profit of discontinued and held for sale activities	—	—	
Net profit	2,283	1,514	
of which:			
• non-controlling interests	21	38	
• attributable to Group shareholders	2,262	1,476	
Earnings per share – basic (€)	8.84	5.84	3.4
Earnings per share – diluted (€)	8.81	5.83	3.4

6.3 Consolidated balance sheet

ASSETS

€ millions	30.06.2023	30.06.2024	Notes
Net amounts			
NON-CURRENT ASSETS			
Intangible assets	12,250	12,234	4.1
Goodwill	6,750	6,806	4.1
Property, plant and equipment	3,901	3,982	4.2
Non-current financial assets	855	932	4.3
Investments in associates	37	58	
Non-current derivative instruments	5	-	4.3/4.10
Deferred tax assets	1,870	1,713	3.3
Total non-current assets	25,667	25,725	
CURRENT ASSETS			
Inventories and work in progress	8,104	8,255	4.4
Trade receivables and other operating receivables	1,814	1,581	4.5
Income taxes receivable	31	122	
Other current assets	435	416	4.6
Current derivative instruments	15	8	4.3/4.10
Cash and cash equivalents	1,609	2,683	4.8
Total current assets	12,008	13,065	
Assets held for sale	1	395	6.7
TOTAL ASSETS	37,676	39,185	

LIABILITIES AND SHAREHOLDERS' EQUITY

€ millions	30.06.2023	30.06.2024	Notes
SHAREHOLDERS' EQUITY			
Share capital	396	393	6.1
Share premium	3,052	3,052	
Retained earnings and translation differences	10,006	10,828	
Group share of net profit	2,262	1,476	
Group shareholders' equity	15,717	15,749	
Non-controlling interests	998	1,048	
Total shareholders' equity	16,715	16,797	
NON-CURRENT LIABILITIES			
Non-current provisions	294	313	4.7
Provisions for pensions and other long-term employee benefits	349	277	4.7
Deferred tax liabilities	3,134	3,153	3.3
Bonds – non-current	9,678	10,907	4.8
Non-current lease liabilities	384	352	4.8
Other non-current financial liabilities	173	133	4.8
Non-current derivative instruments	14	11	4.10
Total non-current liabilities	14,026	15,146	
CURRENT LIABILITIES			
Current provisions	164	158	4.7
Trade payables	3,461	2,930	
Income taxes payable	113	149	3.3
Other current liabilities	1,556	1,607	4.11
Bonds – current	580	1,778	4.8
Current lease liabilities	99	96	4.8
Other current financial liabilities	956	352	4.8
Current derivative instruments	6	21	4.10
Total current liabilities	6,935	7,091	
Liabilities related to assets held for sale	–	151	6.7
TOTAL LIABILITIES AND SHAREHOLDERS' EQUITY	37,676	39,185	

6.5 Consolidated cash flow statement

€ millions	30.06.2023	30.06.2024	Notes
CASH FLOWS FROM OPERATING ACTIVITIES			
Group share of net profit	2,262	1,476	
Non-controlling interests	21	38	
Share of net profit/(loss) of associates, net of dividends received	4	9	
Financial (income)/expenses	327	437	
Tax (income)/expenses	651	766	
Net profit from discontinued operations	—	—	
Depreciation of fixed assets	417	441	
Net change in provisions	(74)	(37)	
Net change in impairment of goodwill, property, plant and equipment and intangible assets	52	495	
Changes in fair value of commercial derivatives	(7)	5	
Changes in fair value of biological assets and investments	(80)	(5)	
Net (gain)/loss on disposal of assets	(74)	(292)	
Share-based payments	44	45	
Self-financing capacity before interest and taxes	3,543	3,378	
Decrease/(increase) in working capital requirement	(568)	(768)	5.1
Interest paid	(292)	(355)	
Interest received	4	19	
Tax paid/received	(654)	(547)	
Net cash from operating activities	2,033	1,727	
CASH FLOWS FROM INVESTING ACTIVITIES			
Capital expenditure	(702)	(773)	
Proceeds from disposals of property, plant and equipment and intangible assets	100	8	
Purchases of financial assets and activities	(1,159)	(245)	5.2
Disposals of financial assets and activities	30	334	5.2
Net cash used in investing activities	(1,731)	(676)	
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividends and interim dividends paid	(1,072)	(1,208)	
Other changes in shareholders' equity	—	—	
Issuance of long-term debt	1,702	2,815	5.3
Repayment of debt	(845)	(1,357)	5.3
Repayment of lease liabilities	(116)	(125)	
(Acquisition)/Disposal of treasury shares	(786)	(334)	
Net cash used in financing activities	(1,117)	(209)	
Cash flows from non-current assets held for sale	—	—	
Increase/(Decrease) in cash and cash equivalents before foreign exchange impact	(815)	842	
Translation differences	(103)	232	
Increase/(Decrease) in cash and cash equivalents after foreign exchange impact	(918)	1,074	
Cash and cash equivalents at beginning of period	2,527	1,609	
CASH AND CASH EQUIVALENTS AT END OF PERIOD	1,609	2,683	

Note 1.2 Significant events during the financial year

1. Acquisitions and disposals

During the course of the year, Group affiliate Corby Spirit & Wine acquired a 90% stake in Ace Beverage Group Inc, the largest independent player in the fast-growing Canadian ready-to-drink (RTD) market.

The Group also closed the sale of its Clan Campbell blended Scotch whisky brand to Stock Spirits Group, as well as the sale of the Becherovka brand and related assets (including the production facilities in Karlovy Vary) to the Maspex group. These transactions are part of Pernod Ricard's active portfolio management strategy, aimed at adapting to the needs of consumers and providing greater opportunities for premiumisation.

2. Bond issues and redemptions

On 15 September 2023, Pernod Ricard SA carried out a bond issue for an amount of €1,350 million in two tranches: a €600 million four-year tranche and a €750 million ten-year tranche, each bearing interest at a fixed annual rate of 3.75%.

On 24 October 2023, Pernod Ricard SA redeemed in full and at maturity a €500 million bond issued on 24 October 2019, bearing a 0% coupon.

On 7 May 2024, Pernod Ricard SA carried out a bond issue for an amount of €1,500 million across two tranches: a €700 million 6.5-year tranche and an €800 million 10-year tranche, bearing interest at the fixed annual rate of 3.375% and 3.625%, respectively.

After obtaining the approval of the French Financial Markets Authority (*Autorité des Marchés Financiers* – AMF) on the base prospectus, on 26 May 2020, Pernod Ricard set up a Euro Medium Term Notes (EMTN) programme, updated on 11 October 2021, 24 October 2022 and 24 October 2023 (the "Programme"). Under the terms of the Programme, Pernod Ricard and Pernod Ricard International Finance LLC may issue bonds by means of private placements in various currencies. The issues of Pernod Ricard International Finance LLC under the programme will be guaranteed by Pernod Ricard SA. The securities may be admitted to trading on Euronext Paris. The maximum nominal amount of securities outstanding under the Programme is set at €7 billion (or the equivalent in any other currency). During the meeting on 24 April 2024, the Board of Directors authorised Pernod Ricard to issue bonds under the Programme up to a total maximum nominal amount of €2,850 billion less any amounts issued since 30 August 2023 (or the equivalent in any other currency) for a period of one year from 24 April 2024.

NOTE 2 Segment information

Net sales

The Group's net sales primarily comprise sales of finished products and are recorded in the income statement upon transfer of control of the products. They are measured at the fair value of the consideration received or to be received after deducting trade discounts, volume rebates, certain costs associated with business and promotional activity and sales-related taxes and duties, notably excise duties.

Costs of commercial and promotional activity

Pursuant to IFRS 15, certain costs of services rendered in connection with sales, such as advertising programmes in conjunction with distributors, listing costs for new products, promotional activities at point of sale, and advertising and promotion expenses, are deducted directly from net sales if there is no distinct service whose fair value can be reliably measured.

Duties and taxes

In accordance with IFRS 15, certain import duties, in Asia for instance, are classified as cost of sales, as these duties are not specifically re-billed to customers (as is the case for social security stamps in France, for example).

Discounts

In accordance with IFRS 15, early payment discounts are not considered to be financial transactions, but rather are deducted directly from net sales.

Gross margin after logistics expenses, contribution after advertising and promotion expenses, profit from recurring operations and other operating income and expenses

The gross margin after logistics expenses corresponds to net sales (excluding duties and taxes), less cost of sales and logistics expenses. The contribution after advertising and promotion expenses includes the gross margin after logistics expenses and advertising and promotion expenses. The Group applies Recommendation 2013-R03 of the French accounting standards-setter (*Autorité des normes comptables* - ANC), notably as regards the definition of profit from recurring operations. Profit from recurring operations is the contribution after advertising and promotion expenses less trading costs and overheads. This is the indicator used internally to measure the Group's operational performance. It excludes other operating income and expenses, such as those related to restructuring, capital gains and losses on disposals, impairment of property, plant and equipment and intangible assets, and other non-recurring operating income and expenses. These other operating income and expenses are excluded from profit from recurring operations given their unusual, abnormal and infrequent nature, which would distort the understanding of the Group's performance. They are described in detail in Note 3.1 - *Other operating income/ (expenses)*.

The Group is focused on the business of selling and manufacturing wines and spirits. The Group is structured into three operating segments constituted by the following geographical areas: Americas, Europe, and Asia/Rest of the World.

Group management assesses the performance of each operating segment on the basis of net sales and profit from recurring operations, defined as the gross margin after logistics expenses, less advertising and promotion expenses and structure costs. The segments presented are identical to those included in the reporting provided to General Management, in particular for performance analysis.

Income statement and balance sheet items are allocated among the segments on the basis of either the destination of sales or profits. Operating segments follow the same accounting policies as those used for the preparation of the consolidated financial statements. Inter-segment transfers are transacted at market prices.

30.06.2023
€ millions

	Americas	Asia/Rest of the World	Europe	Total
Income statement items				
Segment net sales	4,076	6,371	9,297	19,744
<i>o/w inter-segment sales</i>	595	1,179	5,832	7,606
Net sales (excluding Group)	3,481	5,191	3,465	12,137
Gross margin after logistics expenses	2,220	2,969	2,057	7,246
Contribution after advertising and promotion expenses	1,534	2,229	1,544	5,307
Profit from recurring operations	965	1,516	867	3,348
Other information				
Current investments	185	163	486	834
Depreciation, amortisation and impairment, net	(73)	(104)	(289)	(467)

Note 3.3 Corporate income tax

Analysis of the income tax expense

€ millions	30.06.2023	30.06.2024
Current income tax	(624)	(498)
Deferred income tax	(27)	(268)
TOTAL	(651)	(766)

Analysis of effective tax rate – Net profit from continuing operations before tax

€ millions	30.06.2023	30.06.2024
Operating profit	3,265	2,724
Financial income/(expense)	(326)	(437)
Taxable profit	2,938	2,287
Theoretical tax expense at the income tax rate in France	(759)	(591)
Impact of tax rate differences by jurisdiction	172	157
Tax impact of changes in exchange rates	17	2
Re-estimation of deferred tax assets linked to tax rate changes	(1)	1
Impact of tax losses used/not used	31	(14)
Impact of reduced/increased tax rates on taxable results	—	1
Taxes on distributions	(40)	(46)
Other impacts	(72)	(276)
Effective income tax expense	(651)	(766)
Effective tax rate	22%	33%

The increase in the effective tax rate is mainly attributable to the impairment of assets held for sale described in Note 6.7 – *Events after the reporting period*, recognised in other operating income and expenses and with no effect on the tax charge.

Deferred tax is recognised on temporary differences between the tax and book values of assets and liabilities in the consolidated balance sheet and is measured using the balance sheet approach.

Deferred taxes relating to right-of-use assets and lease liabilities are recognised on a net basis.

The effects of changes in tax rates are recognised in shareholders' equity or in profit and loss in the year in which the change of tax rates is decided.

Deferred tax assets are recognised in the balance sheet when it is more likely than not that they will be recovered in future years. In order to evaluate the Group's ability to recover these assets, particular account is taken of projections of taxable income determined by the Group at the end of each financial year.

All assumptions used, particularly growth in operating profit and net financial income or expense taking into account interest rates, are updated by the Group at the reporting date based on data determined by the relevant management teams.

Deferred tax assets and liabilities are not discounted to present value.

Deferred taxes break down by type as follows:

€ millions	30.06.2023	30.06.2024
Margins in inventories	200	190
Fair value adjustments on assets and liabilities	25	23
Provisions for pension benefits	59	39
Deferred tax assets relating to tax loss carryforwards	1,047	1,012
Provisions (other than provisions for pensions benefits) and other items	537	449
TOTAL DEFERRED TAX ASSETS	1,870	1,713
Accelerated tax depreciation	202	213
Fair value adjustments on assets and liabilities	2,739	2,744
Pension plan assets and other items	193	196
TOTAL DEFERRED TAX LIABILITIES	3,134	3,153

Tax loss carryforwards (recognised and unrecognised) represented potential tax savings of €1,272 million at 30 June 2024 and €1,284 million at 30 June 2023. The potential tax savings at 30 June 2024 and 30 June 2023 relate to tax loss carryforwards with the following expiry dates:

At 30 June 2023

Year	Tax effect of tax loss carryforwards € millions	
	Losses recognised	Losses not recognised
2023	0	5
2024	0	3
2025	0	3
2026	1	4
2027 and beyond	737	211
No expiry date	309	12
TOTAL	1,047	237

At 30 June 2024

Year	Tax effect of tax loss carryforwards € millions	
	Losses recognised	Losses not recognised
2024	3	6
2025	1	3
2026	6	4
2027	1	7
2028 and beyond	771	219
No expiry date	231	22
TOTAL	1,012	260

The Group's income taxes payable break down as follows:

(€ millions)	30.06.2023	30.06.2024
Other current tax liabilities	5	60
Uncertain tax positions	108	90
TOTAL CURRENT TAX LIABILITIES	113	149

Note 3.4 Earnings per share

Basic and diluted earnings per share are calculated on the basis of the weighted average number of outstanding shares, less the weighted average number of dilutive instruments. For the purposes of determining earnings per share, the average number of outstanding shares is equal to the weighted average number of outstanding shares less the weighted average number of treasury shares.

The calculation of diluted earnings per share takes into account the potential impact of the exercise of all dilutive instruments (such as stock options, convertible bonds, etc.) on the theoretical number of shares. When funds are obtained at the date of exercise of the dilutive instruments, the "treasury stock" method is used to determine the theoretical number of shares to be taken into account.

Numerator (€ millions)	30.06.2023	30.06.2024
Group share of net profit	2,262	1,476
Denominator (number of shares)		
Average number of outstanding shares	256,048,280	252,595,588
Dilutive effect of performance share grants	701,248	545,642
Dilutive effect of stock options	128,725	47,076
Average number of outstanding shares – diluted	256,878,253	253,188,307
Earnings per share (€)		
Earnings per share – basic	8.84	5.84
Earnings per share – diluted	8.81	5.83

Note 3.5 Expenses by type

Operating profit notably includes depreciation, amortisation and impairment expenses as well as employee benefits expense as follows:

€ millions	30.06.2023	30.06.2024
TOTAL DEPRECIATION, AMORTISATION AND IMPAIRMENT EXPENSE	(466)	(936)
Salaries and payroll costs	(1,565)	(1,664)
Pensions, medical expenses and other similar benefits under defined-benefit plans	(34)	(28)
Share-based payments	(44)	(45)
TOTAL EMPLOYEE BENEFITS EXPENSE	(1,643)	(1,737)